BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company Of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:

Staff Municipal Infrastructure
Support Panel

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Q. Members of the Staff Municipal Infrastructure Support Panel (Panel or SMISP) please state your names, employer, and business addresses.

A. Our names are Daniela Reinhart, Daniel Roszko, and Jack Hamant. We are employed by the New York State Department of Public Service (the Department). Ms. Reinhart's business address is Three Empire State Plaza, Albany, New York 12223. Mr. Roszko's and Mr. Hamant's business address is 90 Church Street, 4th Floor, New York, New York 10007.

Q. Ms. Reinhart, have you discussed your credentials in another testimony in these proceedings?

A. Yes. My credentials are discussed in the testimony of the Staff Accounting Panel.

Q. Mr. Roszko, have you discussed your credentials in another testimony in these proceedings?

A. Yes. This information is discussed in the Staff Electric Infrastructure and Operations Panel testimony in the electric rate case proceeding.

Q. Mr. Hamant, have you discussed your credentials in another testimony in these proceedings?

A. Yes. This information is discussed in the Staff

Gas Reliability and Supply Panel testimony in the gas rate case proceeding.

SUMMARY OF THE TESTIMONY

Q. Please provide an overview of the Panel's testimony regarding municipal infrastructure support, also known as interference.

A. Our testimony addresses the following areas: 1) an overview of Consolidated Edison Company of New York, Inc.'s, (Con Edison or the Company) proposed interference, operation and maintenance, (O&M) expenses and capital costs; 2) Con Edison's forecasting methodology for interference capital and O&M costs; 3) the Panel's recommended adjustments to Con Edison's electric and gas interference capital and O&M budget requests; and, 4) the reconciliation of interference costs.

Q. In your testimony, will the Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of these proceedings?

A. Yes. The Panel will refer to and has relied upon several responses to interrogatory requests. These responses are contained in Exhibit___(SMISP-1).

Q. Is the Panel sponsoring any other exhibits?

A. Yes. The Panel is sponsoring two additional exhibits. Exhibit___(SMISP-2) shows our adjustments to Con Edison's requested capital budgets from 2026 through 2028. Exhibit___(SMISP-3) summarizes the estimated slope and statistical significance of the Company's regression-based analyses.

MUNICIPAL INTERFERENCE OVERVIEW

Q. Please explain municipal interference and why Con Edison incurs costs related to municipal interference.

A. Municipal interference occurs when Con Edison's facilities are within, or very close to, the work area of a municipal project and depending on the project scope, Con Edison must relocate or protect its facilities. The majority of the Company's costs to relocate and protect its facilities are not reimbursable by the municipalities. Common municipal projects that generate interference costs for Con Edison include, but are not limited to, installation and repair of water mains, installation and repair of sewers and drainage facilities, and

the reconstruction of roadways, curbs, sidewalks, and highway bridges.

Q. What is the difference between capital and O&M interference costs?

A. The Company's O&M costs are primarily driven by indirect interference, which are expenses incurred when the Company is required to support, protect, or maintain its facilities due to New York City's (NYC or the City), New York State's, or other municipalities' projects. Direct interference exists when the Company's infrastructure occupies the space of a proposed municipal project and needs to be relocated in order to accommodate the municipality's project. The Company's capital costs consist mainly of direct interference work.

Q. Please briefly describe what Con Edison proposes for municipal interference capital costs for the rate years.

A. On page 31 of its Municipal Infrastructure Support Panel (MISP) initial testimony, the Company states that it requests interference capital costs for electric and gas totaling $249.2 million in Rate Year 1, or the 12 months

ending December 31, 2026, $250.7 million in Rate Year 2, or the 12 months ending December 31, 2027, and $252.2 million in Rate Year 3, or the 12 months ending December 31, 2028. The $249.2 million forecasted for Rate Year 1 is comprised of $168.6 million of electric expenditures and $80.6 million of gas capital expenditures.

Q. Please summarize Con Edison's forecast of the non-Company labor O&M expense for interference work for Rate Year 1.

A. As shown on Schedule 6 of Exhibit___(AP-E3) and Exhibit___(AP-G3), the Company included for Ops – Interference a forecast of $163.644 million for electric and $31.235 million for gas for Rate Year 1. Subsequently, as shown on Schedule 6 of the Company's updated Exhibit___(AP-E3) and Exhibit___(AP-G3), filed on April 10, 2025, the Company revised its Rate Year 1 forecast downward for a final expense forecast of $160.194 million for electric and upward for a final expense forecast of $31.379 million for gas.

CON EDISON'S FORECASTING METHODOLOGY

Q. How did the Company determine its forecast for

Rate Year 1 capital expenditures and O&M expenses for interference work?

A. On pages 22 and 23 of the Company's MISP initial testimony, the Company states that the capital and O&M forecasts were determined using a regression model. On page 25 of the MISP initial testimony, the Company explains that its regression modeling is based on Company expenditures being dependent upon and linked to City liquidations, a term used to describe the City's actual cash outlays, as opposed to future commitments. The Company further states on page 25 of its MISP initial testimony, that it runs the regression model utilizing seven years of historical data. The Company's regression-based analysis is provided in response to DPS-394.

Q. Please explain the steps involved in the regression-based analysis used by the Company to determine its capital costs and O&M expenses for interference.

A. The first step in the Company's regression-based analysis is the collection of City liquidation data from NYC fiscal years 2013 through 2023.

Q. How are the City liquidations determined by the

Company for each NYC fiscal year?

A. The Company utilizes annual City expenditure data put out by the NYC Office of Management and Budget for each NYC fiscal year.

Q. Is the annual City liquidation data used by the Company representative of all liquidations by the City?

A. No. According to page 20 of the Company's MISP initial testimony, the City liquidations used by the Company are representative of City expenditures for municipal projects related to highways, highway bridges, water mains, and sewers.

Q. What was the next step in the Company's regression-based analysis?

A. The next step in the regression-based analysis is the forecasting of City liquidations from 2024 through 2029.

Q. How does the Company forecast City liquidations from 2024 through 2029?

A. The Company uses City liquidation data from 2016 through 2023 to calculate an exponential annual growth rate. The Company then applies the annual growth rate to the NYC fiscal year 2023

City liquidations to forecast City liquidations for NYC fiscal years 2024 through 2029.

Q. What is the next step in the regression-based analysis.

A. Next, the Company estimates a number of regression models using City liquidations as the independent variable and Con Edison's actual historical interference-related costs, specifically electric and gas capital costs and combined labor and non-labor O&M expenses for the Company's electric, gas, and steam operations as the dependent variables. Although the Company's regression-based analyses provided in response to DPS-394 shows that three regressions, covering five, seven or ten years of data, are estimated for each of the categories of gas capital costs, electric capital costs and combined O&M expenses, the Company chose to rely solely on the results of the seven-year regressions.

Q. What does the Company do with the output of the regression models?

A. The Company uses its previously forecasted City liquidations for the rate years and, as

explained on page 26 of the Company's MISP initial testimony, applies a formula using the regression coefficient to determine a budget forecast for gas capital, electric capital, and the combined O&M expense for its electric, gas, and steam operations. In addition to this, the Company then applies a 10 percent project management contingency to the Company's projections, which results in the Rate Year 1 electric and gas capital and Rate Year 1 combined O&M budgets the Company requests.

Q. What relevant information does the Company's regression analysis provide?

A. While the estimated growth rate in City liquidations plays a role in the Company's forecasts, the most important and concerning part of the regression-based analysis is the slope.

Q. What does the slope of the capital and expense regressions represent?

A. The slope represents the resulting change in Con Edison's capital or O&M for every one-dollar increase in City liquidations, as predicted by the regression model. For example, if the slope

is 0.10, it means that Con Edison's costs are predicted to increase by 10 cents for every dollar the City spends.

Q. Do the Company's regression results always show that its costs increase when City liquidations increase?

A. No, and that is a major concern, as the Company's model assumes its costs are dependent on, and linked to, how much the City spends. Further, on page 25 of the Company's MISP initial testimony, the Company explains how City liquidations drive the Company's expenditures, stating that, in theory, Con Edison would have zero interference costs if for some reason there was no municipal interference projects, and conversely, if the City should add projects, accelerate schedules, increase project scope, or modify their resources to any project, then the Company would see corresponding increases in Company forecasts and expenditures. If that were true, the regression models would consistently show positive slopes, indicating that the Company's interference costs go up as City spending increases. As can be seen in the

Company's response to DPS-394 and as summarized in Exhibit___(SMISP-3), however, four out of the nine regression models actually had negative slopes. That means the models predict lower Company interference costs when City spending goes up, which goes against the Company's own logic. The inconsistency indicates that City spending is not a dependable driver of the Company's costs.

Q. Are the five regression models with a positive slope considered statistically significant?

A. Only two of them are. As shown in Exhibit___(SMISP-3), only the Gas Capital five-year regression model and the O&M ten-year regression model show a statistically significant result. In other words, only those two regression models show a strong enough connection to support the inference of a positive correlation with the results. What's more, none of the seven-year models that the Company actually uses to make its forecasts are both positive and statistically significant. Without being able to show a strong and consistent relationship between NYC spending and

Company interference costs, it is hard to trust the Company's method as a reliable tool for predicting the Company's future interference spending.

Q. Are you saying that the Panel does not believe that City liquidations do not play a role in interference expenses?

A. Not at all. We agree that the City's projects and spending can impact the Company's interference capital costs and O&M expenses. Our concern is that the way in which the Company tried to demonstrate this, using a regression-based analysis, doesn't show a consistent or reliable pattern. As such, this methodology should not be used to forecast the Company's Rate Year interference capital costs or O&M expenses.

Q. Does the Panel have a concern with the sample sizes the Company uses in estimating its regression models?

A. Yes. We are concerned that the Company did not use enough years of data to run its analyses. Using only ten, seven or five years of data in each regression is a relatively small sample

size, especially when trying to understand a cost that is likely influenced by many different factors, not just by City liquidations. For example, changes in labor and material costs, the age of the infrastructure being relocated or protected, and the complexity of work that is being performed can all affect the Company's actual interference costs. Furthermore, as stated on page 17 of the MISP initial testimony, the Company performs interference work in tandem with NYS and Westchester County, not only NYC, which also impacts the Company's interference costs. When there are many variables that could influence these costs, using only a small amount of data makes it difficult to figure out what is really causing the changes, let alone isolate one such factor, such as City liquidations.

PANEL'S INTERFERENCE BUDGET RECOMMENDATION

Q. Is the Panel recommending an adjustment to the Company's capital budgets?

A. Yes, we are recommending electric and gas capital adjustments because of the concerns we discussed regarding Con Edison's use of the regression analysis in forecasting its proposed

capital budget.

Q. What is the electric capital budget you recommend?

A. We recommend an electric capital budget of $147.052 million for Rate Year 1, $150.581 million for Rate Year 2, and $153.894 million for Rate Year 3. This is an adjustment of $21.587 million for Rate Year 1, $17.626 million for Rate Year 2, and $13.877 million for Rate Year 3.

Q. How did the Panel derive this capital budget for electric?

A. We took the three-year average of the actual electric capital interference costs from 2022 through 2024, as presented on page 1 of Exhibit___(MISP-3), with the Company's historical actual costs associated with New York City's Coastal Resiliency project removed and inflated it for the three future rate years. This method was used to determine our recommended funding level as it takes into account recent years of actual spending and is adjusted for inflation to account for changes in the cost of materials and labor over the

historical years. The Company's historical actual costs for the Coastal Resiliency project were provided in the response to DPS-774, attachment entitled "DPS_33_774 ATT 2 – 2013 to 2024 Interference Capital by Project".

Q. How did the Panel apply inflation when calculating the historical average?

A. To get the historical average in 2024 dollars the Panel inflated the 2022 and 2023 electric capital numbers by 10.577 percent and 3.969 percent, respectively, then averaged the 2024 actual spend with the inflated 2023 and 2022 actual spend. The three-year historical average was then inflated by 5.637 percent for 2026, 8.525 percent for 2027, and 11.111 percent for 2028. For inflation, we used the factors from the forecasts of the Gross Domestic Product – Price Index in the April 2025 Issue of the Blue Chip Economic Indicators.

Q. Why did the Panel remove the historical actual costs of the Coastal Resiliency project when calculating the electric capital budget for the three future rate years?

A. We removed the Company's historical actual costs

for the City's Coastal Resiliency project because of its significant impact on Con Edison's historic electric interference expenditures. In the response to DPS-774, attachment "DPS_33_774 ATT 2 – 2013 to 2024 Interference Capital By Project", we found approximately $160.9 million in electric expenditures for this one project from 2020 through 2024. It should be noted that in the previous rate filings, Cases 22-E-0064 and 22-E-0065, the Company's MISP identified the City's Coastal Resiliency project, on pages 36 and 37 of the 2022 MISP initial testimony, as a significant example of a project that could affect interference costs and thus forecasted the Company's total cost associated with the project to be $252 million. In the MISP initial testimony filed in the current rate proceedings, the Company has not identified any specific municipal projects that could have a significant impact to the forecasted electric interference budget. Since the Company has not identified a project that could have a significant impact to the electric interference budget, we believe the

inclusion of the Company's historical costs for the Coastal Resiliency projects would result in a capital budget higher than necessary for the typical municipal projects. As stated on page 13 of the MISP initial testimony, these typical municipal projects include the installation of water mains, sewers, drainage facilities, reconstruction of roads, highway bridges, curbs, sidewalks, and the repaving of roadways.

Q. What gas capital budget do you recommend?

A. We recommend a gas capital budget of: $64.177 million for Rate Year 1, or $16.462 million less than the Company's proposal; $65.932 million for Rate Year 2, or $16.564 million less than the Company's proposal; and $67.503 million for Rate Year 3, or $16.869 million less than the Company's proposal.

Q. How did the Panel derive its capital budget for gas?

A. We took the inflation adjusted three-year average of the gas capital interference costs from 2022 through 2024, as presented on page 1 of Exhibit___(MISP-3). The Panel employed the same inflation rates as seen in the Panel's

electric interference capital adjustment. The three-year average was used to determine our recommended funding level as it takes into account recent years of actual spending and is adjusted for inflation to account for changes in the cost of materials and labor over the historical years.

Q. Does the Panel recommend an adjustment to the Company's non-company labor interference O&M expenses for Rate Year 1?

A. Yes. We recommend an adjustment to the non-company labor interference O&M expense for Rate Year 1 based on our previously addressed general concerns with the Company's regression model, as well as our specific concerns with the use of the Company's regression-based analysis to forecast non-company labor interference O&M for the Company's electric and gas operations.

Q. What are the Panel's specific concerns with the use of the Company's regression-based analysis to forecast the electric and gas non-company labor interference O&M expenses for Rate Year 1 as included in the Ops – Interference O&M line item of Schedule 6 of the Company's updated

Exhibit___(AP-E3) and Exhibit___(AP-G3)?

A. We have two specific concerns. The first is regarding the use of aggregated O&M data in the Company's regression analysis and the second is that the Company's methodology does not account for year-to-year fluctuations specific to the Company's electric and gas non-company labor expense.

Q. Explain the Panel's first concern regarding the use of aggregate O&M data in the Company's regression analysis.

A. The Company's regression-based analysis for O&M is based on the aggregate spending for both labor and non-labor for its combined electric, gas and steam operations. As shown in its supplemental response to DPS-394, the aggregate forecasted O&M spending for Rate Year 1 was then allocated to the Company's electric, gas and steam operations and then the amount allocated to each commodity was further allocated between labor and non-labor. Inflation was then added to the allocated amounts to reach the Rate Year 1 forecast of Ops – Interference as reflected on Schedule 6 of the Company's updated

Exhibit___(AP-E3) and Exhibit___(AP-G3) for electric and gas, respectively. Based on the Company's response to DPS-822, however, this is not how the Company's interference expenses are actually accounted for on the Company's accounting books. Instead, the non-labor interference expenses are directly charged to the applicable service for which the work is being performed. As such, the O&M data input in the Company's proposed methodology does not accurately reflect the Company's booked O&M expenses. Using the allocated results of the aggregate O&M expenses from the regression-based analysis could result in a skewed non-labor O&M forecast for the Company's electric and gas operations and is therefore flawed and inappropriate.

Q. Please explain the Panel's second concern that the Company's forecast does not take into consideration the actual fluctuations in the Company's commodity specific non-labor municipal interference expenses from year-to-year.

A. As shown in Exhibit___(MISP-2), the actual non-labor costs incurred by the Company have

fluctuated significantly from year to year. For example, the electric non-labor costs increased by 11 percent from calendar year 2020 to 2021, increased 10 percent from calendar year 2021 to 2022, but then decreased 3 percent from calendar year 2022 to 2023 and decreased 5 percent from calendar year 2023 to 2024. Gas non-labor costs decreased 31 percent, increased 21 percent, increased 4 percent and then decreased 11 percent for the same time periods, respectively.

Q. Is it unusual for interference costs to fluctuate from year-to-year?

A. No. As the Company explains on pages 14 and 15 of the Company's MISP initial testimony, on any given day, there are hundreds of municipal projects being planned, engineered or constructed within the Company's service area by various NYC organizations or other municipalities. The Company explains that whether the projects are planned or result from an emergency, the municipal activities will typically impact Con Edison's facilities located in that area and, therefore, may present interference issues. Further, on page 25, the

Company explains that in theory, there would be zero interference costs if for some reason there were no municipal interference projects while conversely, should NYC add projects, accelerate schedules, increase project scope, or modify their resources to any project, the Company could see a corresponding increase in its costs. While these fluctuations can impact all commodities, and both the Company's labor and non-labor interference expenses, as was previously explained, they do not result in the same level of fluctuation across the board. As such, the Rate Year 1 non-labor interference expense forecast should specifically take into account how these factors have historically impacted each individual commodities' non-labor interference expense.

Q. Does the Panel recommend an adjustment to the Company's Rate Year 1 forecast of Ops – Interference expense?

A. Yes. Based on our previously discussed concerns regarding the Company's regression-based analyses, we recommend adjusting the Company's Rate Year 1 forecast of Ops – Interference

expense to account for the fluctuation in the Company's actual non-labor municipal interference expense from year-to-year by commodity.

Q. How did the Panel calculate its adjustment?

A. Using Company Exhibit___(MISP-2), we calculated annual growth rates for calendar year 2020 through 2024 based on the actual non-labor interference costs incurred by the Company during those years, which reflects actual interference expenses and excludes additional accounting entries related to items such as reconciliations that would be normalized out of the Rate Year 1 forecast. Next, we used the annual growth rates for calendar year 2020 through 2024 to develop a latest-known four-year average annual growth rate of 3.31 percent for electric and -4.03 percent for gas, consistent with Staff's recommendation in the Company's last rate case proceedings. The four-year average annual growth rate was then applied to the Company's actual interference expenses for calendar year 2024, provided in Company Exhibit___(MISP-2), to arrive at a Rate Year 1

forecast of $143.563 million and $23.215 million, or a reduction to the Company's forecast for municipal interference of $16.631 million and $8.164 million for electric and gas, respectively.

INTERFERENCE CAPITAL RECONCILIATION

Q. How does the Company reconcile its capital interference costs?

A. For electric capital expenditures, interference costs are part of the electric net plant downward-only reconciliation, with a limited upward reconciliation for certain interference capital costs, as specified in the Joint Proposal approved by the Commission in Cases 22-E-0064 and 22-G-0065 in the Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements issued on July 20, 2023 (2023 Rate Order). Specifically, the Company may defer for future recovery from customers the carrying charges on average net plant in service, excluding removal costs, resulting from interference related capital costs up to 20 percent above established capital expenditure targets incurred due to the

East Side Coastal Resiliency Project, to the extent that the Company's capital expenditures related to that project result in total actual average net plant in service exceeding the average electric plant in service balance in any or all rate years. For gas capital expenditures, interference costs are part of the gas net plant full downward reconciliation, with a limited upward reconciliation for certain interference capital costs, as specified in the Joint Proposal approved in the 2023 Rate Order. Specifically, the Company may defer for future recovery from customers the carrying charges on average net plant in service, excluding removal costs, resulting from interference related capital costs up to $10 million annually incurred due to either a change in customary practice relating to interference and/or all other public works or municipal infrastructure projects with a projected total cost in excess of $100 million, to the extent that the Company's capital expenditures up to $10 million related to those activities result in total actual average net plant in service exceeding

the average gas plant in service balance in any or all rate years.

Q. What are the Company's proposed changes to the reconciliation of capital municipal interference costs?

A. On page 37 of its MISP initial testimony, the Company proposes a full reconciliation of electric and gas Municipal Infrastructure Support capital expenditures. If capital expenditures exceed their respective net plant target, the Company would recover carrying charges on the amount of net plant that exceed the aggregate net plant target through a surcharge.

Q. Why is the Company proposing a full reconciliation for electric and gas interference capital?

A. As explained on page 117 and 118 of the Company's Accounting Panel initial testimony, interference costs are mandatory costs incurred to support local and state government projects and are beyond the Company's direct control. While the City's capital infrastructure improvement program is the primary driver of the

Company's forecasted interference expenditures, Con Edison states that Westchester County municipalities and the State of New York are planning projects that will result in additional interference costs in the upcoming years. These projects may still change making it difficult for the Company to reasonably forecast its interference costs. To avoid a situation where a change in project plan impairs the Company's ability to manage its portfolio of capital projects effectively, Con Edison believes it should be able to fully reconcile its interference capital costs.

Q. Does the Panel agree with the Company's reconciliation proposal?

A. No, we do not. Since the Company has not identified any large municipal projects that could significantly impact the capital budgets, as mentioned previously in our testimony, we do not believe the Company's reconciliation proposal is necessary. The proposal to recover overspending without a cap creates less incentive for the Company to pursue cost mitigation strategies.

Q. What is the Panel's recommendation for the reconciliation of electric and gas capital expenditures?

A. The Panel recommends downward-only reconciliation of electric and gas net plant targets, with limited upward reconciliation for certain interference capital costs. For gas capital, we recommend the continuation of the existing reconciliation mechanism as defined in the Joint Proposal approved in the 2023 Rate Order. For electric capital, we recommend the application of the existing gas capital reconciliation mechanism for electric capital expenditures. As mentioned previously, the Company has not identified any specific major projects, such as the East Side Coastal Resiliency Project, that would have a significant impact to the electric capital budget. As such, we do not believe that the existing electric reconciliation mechanism, which is based on the East Side Coastal Resiliency project, is applicable to this rate proceeding. To mitigate the uncertainty with interference projects and its impact to the

Company's ability to manage its capital portfolio, we decided to apply the existing gas reconciliation mechanism to the electric capital budget.

INTERFERENCE O&M RECONCILIATION

Q. Please describe the interference O&M reconciliation currently in place for Con Edison.

A. Under the 2023 Rate Order, if the actual non-Company labor interference expenses vary from the level in rates for any rate year, then 100 percent of the variation below the target will be deferred for the benefit of customers, and 80 percent of the variation above the target within a band of 15 percent will be deferred for recovery from customers. Non-Company labor interference expenses above the target plus 15 percent are not recoverable from customers unless the increased expenses are due to any public works or municipal infrastructure project with a projected total cost in excess of $100 million in which case the Company is authorized to defer 80 percent of the variation above the target plus 15 percent for future recovery from

customers.

Q. What is the Company's proposed modification to the interference O&M reconciliation?

A. As explained on pages 122 and 123 of the Company's Accounting Panel initial testimony, the Company proposes that a full and symmetrical reconciliation mechanism replace the partial and asymmetrical reconciliation currently in effect.

Q. Has the Company explained why it proposes a full and symmetrical reconciliation for its non-Company labor interference expenses?

A. Yes. On page 123 of the initial testimony of the Company's Accounting Panel, the Company explains that interference costs are outside the Company's direct control and cannot be reasonably forecasted. Furthermore, the Company indicates that a full and symmetrical reconciliation of the non-Company labor expense would protect both the Company and customers against any deviations from current cost projections.

Q. Did the Company explain why it believes interference costs are outside the Company's direct control and therefore cannot be

reasonably forecasted?

A. On page 38 of the Company's MISP initial testimony, it explains that its interference costs are driven by the infrastructure work performed by the City, State, and other municipalities, due to work the Company is required to perform pursuant to a schedule established by the municipality that often requires a significant diversion of Company resources and significant incremental costs.

Q. Did the Company provide an analysis or other documentation demonstrating the potential impact that changes in NYC project plans could have on costs the Company may incur for interference O&M in Rate Year 1?

A. Not directly. In DPS-734 we requested that the Company provide all studies and analyses performed by the Company to determine the potential impact changes in NYC project plans could have on the costs that the Company must incur for interference O&M in Rate Year 1. The Company responded that it provided a regression analysis that forecasted the correlation between Company and municipal costs and establishes a

baseline of anticipated interference costs in the rate years. The Company's regression analysis, however, as we have previously discussed, shows that there is not a strong correlation between City liquidations and Company infrastructure costs.

Q. Does the Panel agree that a reasonable forecast cannot be determined for Rate Year 1, and therefore, that the Company's proposal to modify the existing non-Company labor interference expense reconciliation to a full and symmetrical reconciliation is necessary?

A. No. While we agree that interference expenses are largely outside of the Company's control and may be difficult to forecast, we do not believe that a reasonable forecast for Rate Year 1 cannot be made. For example, in the 2023 Rate Order an allowance of $137.259 million for electric and $29.436 million for gas was forecasted for non-Company labor interference expense for calendar year 2023. Based on the Company's response to DPS-736, the Company's actual non-Company labor interference expenses for calendar year 2023 varied by only three

percent for electric, and negative three percent for gas, from the rate allowances. The minimal variance between the Company's actual non-Company labor interference expenses and its forecasted rate allowances for calendar year 2023 demonstrate that despite the expense being largely outside of the Company's control, a reasonable estimate can still be made. Furthermore, based on its response to DPS-736, for at least calendar years 2022, 2023, and 2024, the Company has not experienced a significant variation in actual expense greater than the allowances set in rates, outside of the current 15 percent band set in its existing rate plans.

Q. Does the Panel disagree with the Company's proposal for any other reasons?

A. Yes. We are concerned that a full reconciliation would reduce the Company's incentive to minimize its non-Company labor interference expenses, as ratepayers would be responsible for paying 100 percent of those expenses. As such, the Company's motivation for cost mitigation measures could be diminished as

a result of it bearing none of the financial risk.

Q. Did the Company address this concern in its testimony?

A. Yes. On page 123 of the initial testimony of the Company's Accounting Panel, the Company states that it has historically sought to minimize its interference expenses and that continues on an ongoing basis as a normal course of business for the Company, even during times when a full reconciliation was in effect.

Q. Does this alleviate the Panel's concern?

A. No. In DPS-734, we asked the Company to provide the case number where the last full and symmetrical interference O&M reconciliation was approved. In response, the Company states that in the Commission's Order Adopting Three-Year Rate Plan in Case 04-E-0572, issued on March 24, 2005, the Company was authorized to defer and recover from, or credit to customers, any variations in excess of 2.5 percent, plus or minus, between its actual expense and the level set in rates in any rate year. The noted reconciliation, while symmetrical, was not a

full reconciliation as it did not authorize deferral treatment for the first 2.5 percent of any variances. As such, while the Company has historically sought to minimize its interference expenses, it has done so under rate plans that have typically included an interference reconciliation subject to a sharing arrangement between the customers and the Company of any variances. Therefore, the Company's incentive to minimize interference expenses is exemplified through its prior actions to do so.

Q. Does the Panel agree with the Company's proposed modification to its existing interference O&M reconciliation?

A. No. For the reasons discussed above, we recommend that the Company's existing interference O&M reconciliation mechanism continue without modification.

Q. Does this conclude your testimony at this time?

A. Yes.